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RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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